PORTFOLIO RESEARCH / REFRESH & RE-UNDERWRITE / 19 OCTOBER 2026

UnitedHealth Group Incorporated

UNH · NYSE · HEALTH BENEFITS • OPTUM • TURNAROUND

ADD / SELECTIVE · RESEARCH CONVICTION 7/10

A real operating turnaround is underway, but investors must separate sustainable medical-cost improvement from reserve development and declining high-cost insurance membership.

Investment horizon: 3–5 years · Price: October 19 regular-session close · Preliminary scenario estimates, not a guaranteed 12-month target

MARKET CLOSE	BASE DCF	SCENARIO WEIGHTED	PORTFOLIO WEIGHT
$406.88	**$476**	**$491**	**1.17%**
19 Oct 2026, 4pm ET	+17% estimated vs. close	+21% vs. close	50.22 shares / ADRs

SOURCE-CONTROL SUMMARY

Quarterly financials through Q3 2026 · Oct 13; market data October 19; estimates sampled October 19; holdings, quantity, cost basis and weight solely from **retirement-portfolio-63.xlsx** uploaded by the user. Default-branch GitHub manifest still incorrectly names export 61; not used for portfolio numbers.

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01 · Executive investment judgment

Recovery is substantiated by a stronger Q3, although some of the MCR improvement reflects $610M reserve benefit; the stock no longer offers a distressed entry valuation.

BUSINESS ECONOMICS

- Pricing and benefit redesign are bringing UnitedHealthcare medical costs and administrative economics into better balance.
- Optum Health's improving profitability and Optum Insight/Optum Rx operational scale could renew earnings mix benefits, although conflicts/regulation constrain the moat.
- Diversification among insurance, pharmacy and clinical services supports customer stickiness and data-driven underwriting.

PRINCIPAL BEAR COUNTERARGUMENT

- Q3 MCR benefited from $610M favorable prior-period reserves; removing this benefit would materially weaken apparent improvement.
- Medicare Advantage enrollee attrition of ~935,000 since late 2025, insurer membership down, and commercial medical trend above 11% complicate margin forecasting.
- DOJ/CMS/PBM and reimbursement scrutiny plus Medicare risk adjustment could alter structural returns.

Decision hinge. Current price **$406.88** compared with conservative FCFE DCF base **$476** (+17%) and 25/50/25 weighted scenario **$491**. These are 10-year present values, not near-term price promises. Proposed Equity Research posture **ADD / SELECTIVE**, conviction 7/10. CIO owns authoritative thesis status, capital allocation and trade decision.

COMPANY QUALITY

8 / 10

Moat, repeatability, margins, balance-sheet resilience, management and investor control quality.

VALUATION / PORTFOLIO FIT

7 / 10 / 8 / 10

Value versus expectations / incremental fit at current workbook concentration; distinct from business quality.

Scoring and recommendation are research assessments, not externally sourced credit ratings or a change to Portfolio CIO-controlled status.

02 · What has changed since previous underwriting?

Previous investment research: **October 17 re-underwrite** (market anchor **$401.43**; prior base approximately **$465**). The company-specific developments below determine which model and thesis assumptions require refreshing.

Q3 confirmed	Adjusted EPS $4.69 and revenue $112.7B; operating income climbed to $6.6B from $4.3B year earlier.
Underwriting quality	Medical care ratio 88.4% (89.9% prior year) includes $610M net favorable reserve development, limiting clean extrapolation.
Raised management outlook	FY2026 adjusted EPS floor raised to $20.50; CFO highlighted long-term 13–16% EPS growth, with 2027 starting at lower end.
Valuation progression	$406.88 closing price versus $401.43 prior research; 2027 consensus adjusted EPS near $23.23 implies ~17.5× P/E.

Price-anchor changes are period-specific and do not prove a thesis revision on their own. New DCF outputs should not be compared mechanically with earlier forward-P/E targets without noting methodology differences.

03 · Business quality, industry structure & moat

Core underwriting pillars

- Pricing and benefit redesign are bringing UnitedHealthcare medical costs and administrative economics into better balance.
- Optum Health’s improving profitability and Optum Insight/Optum Rx operational scale could renew earnings mix benefits, although conflicts/regulation constrain the moat.
- Diversification among insurance, pharmacy and clinical services supports customer stickiness and data-driven underwriting.
- Cash conversion and buybacks can contribute to double-digit adjusted EPS growth if Medicare Advantage Star ratings and medical inflation stabilize.

Strongest counterevidence and competitive pressure

- Q3 MCR benefited from $610M favorable prior-period reserves; removing this benefit would materially weaken apparent improvement.
- Medicare Advantage enrollee attrition of ~935,000 since late 2025, insurer membership down, and commercial medical trend above 11% complicate margin forecasting.
- DOJ/CMS/PBM and reimbursement scrutiny plus Medicare risk adjustment could alter structural returns.
- Reported Optum and insurance profitability are subject to inter-segment transactions, medical-claims lag and contract repricing cycles.

> A strong business can be a poor security when the entry price demands an unrealistically good path—or a high-return idea can fail because operating economics change. The contrary cases above are treated as alternative hypotheses to test, not as fine-print risks.

04 · Earnings, cash generation & management execution

Reported evidence and economically relevant operating metrics

Q3 revenue	$112.69B	Slightly down versus $113.16B year earlier
Q3 GAAP / adjusted EPS	$4.56 / $4.69	Reported and company-defined adjusted
Q3 earnings from operations	$6.6B	Up from $4.3B YoY
Q3 medical cost ratio	88.4%	Versus 89.9% year ago; $610M favorable reserve
Q3 operating cash flow	$5.1B	About 1.2× Q3 net income
FY2026 adjusted EPS floor	≥$20.50	Management guidance; 2027 street ~$23.23
Trailing FCF	$22.83B	Operating cash less capex, reported vendor

LATEST KEY OPERATING FACTS

Q3 ADJUSTED EPS	Q3 MEDICAL COST RATIO	FY26 ADJUSTED EPS	Q3 OPERATING INCOME
$4.69	**88.4%**	**≥$20.50**	**$6.6B**
Versus year-ago GAAP comparisons	Includes $610M favorable reserves	Raised full-year guidance	Vs $4.3B year ago

GAAP quality, capital allocation, cash-flow bridge

A medical cost ratio that improves as membership shrinks may simply reflect membership mix and repricing rather than durable per-member economics. Company adjusted EPS strips selected items; the DCF looks through GAAP-to-adjusted differences and explicitly tests cash conversion.

The report uses trailing FCF as a checked market-data starting point, but the DCF's economically sustainable year-zero FCF is explicitly identified as an *analyst scenario input*. Public consensus and company guidance are never substituted for an audited owner-earnings forecast.

05 · Earnings expectations, market valuation & peers

FY2026 adjusted EPS floor	$20.50	~19.85× current price / adjusted EPS floor
FY2027 consensus EPS	$23.23	~17.51× 2027 P/E
Provider PEG	~1.26×	Valuation depends on restoration pace, reserve quality
Consensus analyst target	$477.04	~17% above current; target dispersion $380–$529
Trailing P/FCF	~16.0×	~6.2% FCF yield
Trailing revenue	$450.06B	Current EV/revenue ~0.92×
Leverage / balance sheet	~$48.49B net debt	41.7% debt-to-capital disclosed at Q3

Comparison is drawn against history, investor consensus and economics of realistic alternatives, not a peer-multiple average: high-margin software, insurance services, leading-edge wafer manufacturing and two-sided marketplaces warrant different growth, maintenance capital and valuation measures. Any forward P/E cited uses provider-supplied or clearly labeled adjusted EPS, while GAAP EPS may differ materially. PEG is useful only when estimated earnings growth is consistent, sustainable and positive; it is not an overriding buy rule.

Market price versus expected 2027 performance

At **$406.88**, the equity market is judging durable future growth and margin, not merely whether the latest quarterly print beat consensus. Each valuation ratio has a timing, share-count and accounting-basis dependency. The next release date is **FY2027 outlook / Q4 print**.

06 · Discounted cash flow, reverse DCF & cost-of-capital sensitivity

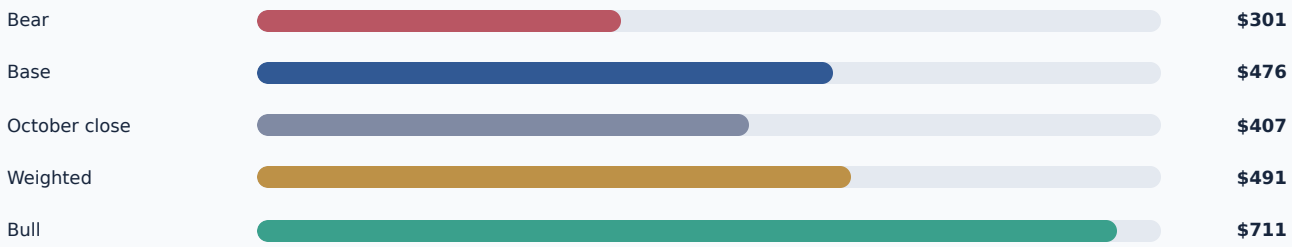
Ten-year equity free-cash-flow DCF — company-specific economics, explicit growth fade and cash ownership

> **Model architecture.** Start with normalized 2026 **$22.83B** of equity FCF; shares / ADR-equivalents **0.8976B**; equity discount rate **10.0%**; terminal growth **2.5%**; explicitly modeled excess cash **$0.0B**. Because the cash flow is after interest, net debt is not deducted again. Terminal value = year-10 FCFE × (1 + g) / (r − g), discounted ten years.

CASE	EQUITY DISCOUNT	YR 1 FCFE	YR 10 FCFE	DCF PER SHARE	VS. PRICE
Bear	11.0%	$22.8B	$28.6B	**$301**	-26%
Base	10.0%	$25.1B	$42.8B	**$476**	+17%
Bull	9.0%	$26.3B	$57.4B	**$711**	+75%

All cash flow values USD billions and intrinsic per-share amounts in USD. Case growth schedules and analyst discount-rate assumptions are disclosed below. The bull/bear change the discount rate ±100 basis points as well as growth; compare as joint scenarios, not isolated WACC estimates.

VALUE DISTRIBUTION



Scenario mix: bear 25%, base 50%, bull 25%. Weighted value $491; modeled base $476. Probabilities reflect research judgment rather than statistical estimates.

Reverse DCF: what is priced in?

A constant annual equity-FCF growth rate of **4.7%** for ten years would match $406.88 with the base discount rate and terminal assumption. Year-10 normalized equity FCF would be **$36.0B**. This is a market-implied growth hurdle under a deliberately simplified flat-growth trajectory.

Owner-earnings sensitivity

If starting distributable FCF is **15% lower** ($19.41B), the reverse growth hurdle becomes **6.9%** per year. This sensitivity addresses continuing reinvestment, capital allocation and share dilution but is not a second reported earnings figure.

Base intrinsic value sensitivity to cost of equity

DISCOUNT	EQUITY VALUE/SHARE	VERSUS CLOSE
9.0%	$554	+36.1%
9.5%	$512	+25.9%

DISCOUNT	EQUITY VALUE/SHARE	VERSUS CLOSE
10.0%	$476	+17.1%
10.5%	$445	+9.4%
11.0%	$417	+2.6%

Cash-flow provenance and normalization: The model starts from $22.83B reported trailing equity free cash flow, after financing cost, using an analyst-selected 10% equity discount rate and 2.5% terminal growth. It does not subtract net debt again. Cash claims, medical reserves and working-capital timing can make FCF temporarily unrepresentative; reserve-adjusted earnings and statutory capital requirements remain separate sensitivity gates.

Model assumes no terminal disruption, constant terminal economics, stable projected share count and returns proportional to FCFE. If buybacks materially reduce diluted shares, FCFE per-share could improve; if dilution, acquisitions or insurance/fab funding absorbs more capital, intrinsic value may fall. A risk-free rate near 5% materially affects long-duration valuations.

07 · Bull / base / bear operating cases

BEAR • 25% PROBABILITY

$301 per share

Downside from slower adoption, margin/FCFE growth and higher required return.

First-year FCF growth: +0%; terminal-year growth: +2%; equity discount 11.0%.

BASE • 50% PROBABILITY

$476 per share

Durable execution with a deliberately decelerating, investable growth runway.

First-year FCF growth: +10%; terminal-year growth: +4%; equity discount 10.0%.

BULL • 25% PROBABILITY

$711 per share

Longer exceptional scale advantage and more persistent cash compounding.

First-year FCF growth: +15%; terminal-year growth: +5%; equity discount 9.0%.

Complete ten-year model growth assumptions

YEAR	BEAR	BASE	BULL
2027	0.0%	10.0%	15.0%
2028	2.0%	9.0%	14.0%
2029	3.0%	8.0%	12.0%
2030	3.0%	7.0%	11.0%
2031	3.0%	7.0%	10.0%
2032	3.0%	6.0%	9.0%
2033	2.5%	5.0%	8.0%
2034	2.5%	5.0%	7.0%
2035	2.0%	4.0%	6.0%
2036	2.0%	4.0%	5.0%

Scenario-weighted research value **$491**; it is not the expected October 2027 trading price. The model spans many business cycles and requires consistent evidence on pricing, demand, cash conversion and capital allocation.

08 · Portfolio fit using canonical export 63

CURRENT EXPOSURE

50.22 shares

Portfolio weight: **1.17%**. Workbook last price **$402.27** (stale versus October 19 live quote). Cost basis **$11,924.74**; average **$237.45**. Sole holdings source: export 63.

MARK-TO-MARKET SENSITIVITY

$20,434

Indicative October 19 market value using workbook quantities × independent closing price; change versus workbook value **$+232** before fees or trades. No assumption that the canonical workbook has been updated.

Portfolio role: **8 / 10** assessed separately from valuation. Adding at market prices changes portfolio concentration, correlation and retirement funding risk even if the research target suggests long-run upside. Capital-allocation authorization remains with Portfolio CIO; equity research is not a trade instruction.

09 · Catalysts, dated checkpoints & thesis-break criteria

Evidence to demand next

- Late 2026 FY2027 formal guide: adjusted EPS ~$23.2+ with credible medical and operating-income reconciliation.
- Reserve-adjusted MCR improvement persists below ~89% without repeated large favorable reserve releases.
- Medicare Advantage Star ratings, enrolment and 2027 pricing balance retention versus margins.
- Optum Health profitability, PBM/regulatory rulings, DOJ/CMS investigations and cash conversion.

Explicit thesis-break conditions

- Medical cost ratio persistently near/above 89% despite renewed rates and benefit design, particularly with unfavorable reserve development.
- FY2027 adjusted EPS credibility falls to ~$21 or below without a path to recovery.
- Optum Health margin relapses toward 0–1% or integrated care losses recur.
- Major CMS/RADV, DOJ or PBM outcome creates sustained margin impairment or material cash settlements.
- Underwriting claims reserve weakening coincides with underfunded liabilities or debt/capital deterioration.

> **Separation of roles:** Weakness in forward valuation alone may trigger a suggested lower purchase price or watch posture without implying the underlying company moat broke. Breaking an operating condition triggers formal CIO review; this report does not alter the official status or current position.

Outstanding diligence questions

- How much of Q3 margin improvement survives excluding $610M of positive development and run-rate mix effects?
- What are the actuarial medical claims trend sensitivities under 2027 Medicare Advantage pricing?
- How much Optum reported profit is truly independently incremental to group FCFE and statutory capital?

10 · Evidence register and research limitations

Primary documents take precedence over market aggregates. S&P Global-derived StockAnalysis data supply current market capitalization, share statistics, trailing FCFE proxy and forward analyst estimates. Prices use independent October 19 regular-session closes; data snapshots around market close may differ slightly across vendors.

01 UnitedHealth Q3 2026 SEC release
Read source ↗

02 UnitedHealth Q3 presentation SEC
Read source ↗

03 Q3 2026 management call transcript
Read source ↗

04 S&P market valuation stats
Read source ↗

05 S&P estimates and analyst targets
Read source ↗

06 October daily close history
Read source ↗

Facts: company filings/management press releases, source-supported market data, user-provided holdings. **Third-party estimates:** 2027 EPS/revenue consensus and Street targets. **Analyst assumptions:** ten-year FCF growth vectors, cost of equity, terminal growth, cash normalization, case probabilities, intrinsic value and portfolio research posture.

Evidence confidence: high for filed quarter and portfolio counts; medium for consensus snapshots; low-to-medium for exact long-dated DCF outputs. **Underwriting readiness:** refreshed scenario underwrite, decision-gated by the next company-specific result. Formal research concluded; publication to PCCs not authorized. **Source-control exception:** default GitHub manifest still names export 61 despite October 16 explicit export 63 designation; no older workbook was substituted.

UnitedHealth Group Incorporated (UNH) · Equity Research · 19 October 2026 · Research-only, not an order or a CIO portfolio decision. All monetary data USD except explicitly designated NT$/€ metrics. Report HTML and PDF are matching outputs generated from this single document source.